

1 ENGROSSED HOUSE
2 BILL NO. 4030

By: Caldwell (Trey) and Kane of
the House

3 and

4 Hall and Haste of the
5 Senate

6
7
8 An Act relating to education; specifying
9 apportionment of certain appropriated funds;
10 providing for the budgeting of funds in certain
11 categories and amounts; requiring development of
12 certain performance measures; requiring transfers of
13 certain funds; limiting authority to reduce certain
14 apportionments; requiring certain funds to be
15 expended for certain purposes; stating purposes for
16 allocated funds; requiring certain transfer of funds;
17 stating legislative intent regarding expenditures for
18 direct costs; prohibiting the State Department of
19 Education from contracting for certain administrative
20 costs in certain program; providing for duties and
21 compensation of employees of the State Department of
22 Education; requiring the reduction or withholding of
23 State Aid funds for certain purposes; authorizing the
24 State Board of Education to request transfer of
certain funds; authorizing the request of early
allocations for certain funds; requiring proportional
reductions of allocations under certain conditions;
authorizing exemption from budgetary limits for
unanticipated federal funds; providing procedures;
requiring approval of exemption request under certain
conditions; requiring budgeting of certain funds in
certain years; requiring certain budgeting
procedures; prohibiting certain budgeting procedures;
appropriating certain funds in certain amount for
certain purpose; directing utilization of certain
amounts for certain purposes; providing for
noncodification; providing an effective date; and
declaring an emergency.

1
2 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

3 SECTION 1. NEW LAW A new section of law not to be
4 codified in the Oklahoma Statutes reads as follows:

5 For the fiscal year ending June 30, 2027, for the support of
6 public school activities by the State Board of Education payable
7 from monies appropriated and authorized by Enrolled Senate Bill No.
8 1177 of the 2nd Session of the 60th Oklahoma Legislature shall be
9 apportioned as follows:

10 1. Funds appropriated and authorized by Sections 1, 2, 3, 4, 5,
11 6, 7, 8, and 19 of Enrolled Senate Bill No. 1177 of the 2nd Session
12 of the 60th Oklahoma Legislature:

13 Local- and State-supported:

14 a. Financial Support of Public

15 Schools \$3,095,577,929.00

16 b. Redbud School Grants \$125,000,000.00

17 SUBTOTAL, PARAGRAPH 1 \$3,220,577,929.00

18 2. Funds appropriated by Sections 9, 10, 11, 13, 18, 20, 21,
19 and 22 of Enrolled Senate Bill No. 1177 of the 2nd Session of the
20 60th Oklahoma Legislature, shall be utilized to fund:

21 a. Certified Employee Health

22 Benefit Allowances \$420,597,720.00

23 b. Support Employee Health Benefit

24 Allowances \$261,700,874.00

1	c. School Security	\$50,000,000.00
2	d. The Purchase of Textbooks and	
3	Instructional Materials	\$45,190,000.00
4	e. The Strong Readers Act	\$43,750,000.00
5	f. The Teachers' Retirement Credit	\$35,000,000.00
6	g. Early Intervention	\$16,725,341.00
7	h. Early Childhood Initiatives	\$15,000,000.00
8	i. Alternative and High Challenge	
9	Education	\$14,000,000.00
10	j. Required Assessments	\$13,405,685.00
11	k. The Math Achievement and	
12	Proficiency Program	\$7,500,000.00
13	l. The Public School Paid Maternity	
14	Leave Revolving Fund	\$6,500,000.00
15	m. The Revolving Loan Fund Program	
16	for Charter School Capital	
17	Expenditures, created pursuant	
18	to Enrolled House Bill No.	
19	3372 of the 2nd Session of the	
20	60th Oklahoma Legislature, in	
21	cooperation with the Statewide	
22	Charter School Board,	
23	utilizing memoranda of	
24		

1	understanding and transferring	
2	the funds as needed	\$5,000,000.00
3	n. Literacy Coaches	\$5,000,000.00
4	o. Teacher Reading Program Training	\$5,000,000.00
5	p. The continuation of stipends for	
6	speech language pathologists	\$4,250,000.00
7	q. Math and Reading Screeners	\$4,000,000.00
8	r. School Lunch Matching	\$3,140,137.00
9	s. The continuation of a statewide	
10	early literacy program that	
11	mails free, age-appropriate	
12	books each month to children	
13	from birth to age five to	
14	build reading skills and	
15	school readiness at no cost to	
16	families	\$2,840,000.00
17	t. The support of a research-based	
18	literacy program used in	
19	schools that provides	
20	evidence-based, print material	
21	with a systematic phonics	
22	sequence, personalized	
23	decodable books, instructional	
24		

1	videos, and is family	
2	supported	\$2,700,000.00
3	u. Student Teacher Compensation	\$2,650,000.00
4	v. Implementation of the provisions	
5	of Enrolled Senate Bill No.	
6	1614 of the 2nd Session of the	
7	60th Oklahoma Legislature	\$2,000,000.00
8	w. Advanced Placement Incentives	\$1,559,863.00
9	x. Continuation of existing Metrics	
10	Software program utilization,	
11	which, beginning in the 2026-	
12	2027 school year, will	
13	aggregate data to the	
14	classroom level	\$1,500,000.00
15	y. Continuation of a professional	
16	development-based educational	
17	program that trains teachers	
18	to create positive,	
19	respectful, and engaging	
20	classroom environments that	
21	inspire students to achieve	
22	academic excellence and strong	
23	character development	\$500,000.00
24	z. The Oklahoma Arts Institute	\$320,000.00

1	aa. Nationally Recognized Career	
2	Readiness Assessments	\$250,000.00
3	bb. Continuation of a nonprofit,	
4	tuition-free alternative	
5	education program that	
6	combines high school academics	
7	with therapeutic counseling to	
8	help at-risk students graduate	
9	and prepare for college or	
10	careers	\$200,000.00
11	cc. Support of a program that	
12	partners with an institution	
13	of higher education that	
14	supports students through	
15	research-based, high-dosage	
16	tutoring focused on early	
17	literacy and middle school	
18	math	\$159,581.00
19	dd. Ag in the Classroom	\$38,000.00
20	SUBTOTAL, PARAGRAPH 2	\$970,477,201.00
21	3. Funds appropriated by Section 12 of Enrolled Senate Bill No.	
22	1177 of the 2nd Session of the 60th Oklahoma Legislature:	
23		
24		

Administrative and Support

Functions of the State Department

of Education \$18,297,734.00

SUBTOTAL, PARAGRAPH 3 \$18,297,734.00

TOTAL State School Aid and Programs \$4,209,352,864.00

SECTION 2. NEW LAW A new section of law not to be

codified in the Oklahoma Statutes reads as follows:

For the fiscal year ending June 30, 2027, the State Board of Education shall budget all funds in the following categories and amounts:

Category	Total
1. Payroll, Salaries or Wages,	
Including Tax-sheltered	
Deferment Contracts and	
Longevity Payments Authorized	
by State Statutes	\$38,000,000.00
2. Professional and Personal	
Services Contracts	\$36,787,370.00
3. Other Operating Funds	\$3,974,901,663.00
4. Expenditure of Federal Funds	\$1,000,000,000.00
TOTAL	\$5,049,689,033.00

The agency shall develop outcome-based performance measures for each budget category.

1 SECTION 3. NEW LAW A new section of law not to be
2 codified in the Oklahoma Statutes reads as follows:

3 The funds appropriated in Sections 14 and 15 of Enrolled Senate
4 Bill No. 1177 of the 2nd Session of the 60th Oklahoma Legislature in
5 the amount of Three Million Two Hundred Fifty Thousand Dollars
6 (\$3,250,000.00) shall be transferred to the School Consolidation
7 Assistance Fund.

8 SECTION 4. NEW LAW A new section of law not to be
9 codified in the Oklahoma Statutes reads as follows:

10 The funds appropriated in Sections 16 and 17 of Enrolled Senate
11 Bill No. 1177 of the 2nd Session of the 60th Oklahoma Legislature in
12 the amount of Three Million Two Hundred Fifty Thousand Dollars
13 (\$3,250,000.00) shall be transferred to the Teachers' Retirement
14 System Dedicated Revenue Revolving Fund.

15 SECTION 5. NEW LAW A new section of law not to be
16 codified in the Oklahoma Statutes reads as follows:

17 The funds allocated in subparagraph f of paragraph 2 of Section
18 1 of this act specifically for the purpose of funding the Teachers'
19 Retirement Credit shall be transferred to the Teachers' Retirement
20 System of Oklahoma.

21 SECTION 6. NEW LAW A new section of law not to be
22 codified in the Oklahoma Statutes reads as follows:

23 If the funds allocated in subparagraph f of paragraph 2 of
24 Section 1 of this act specifically for the purpose of funding the

1 Teachers' Retirement Credit are insufficient to fully fund the
2 employee contribution credits provided for in Section 17-108.2 of
3 Title 70 of the Oklahoma Statutes as invoiced by the Teachers'
4 Retirement System of Oklahoma, the State Department of Education may
5 reduce in equal proportions funds allocated in subparagraphs i, j,
6 p, s, w, y, z, aa, bb, and dd of paragraph 2 of Section 1 of this
7 act. The total amount of funds reduced shall not exceed the
8 additional amount required to fully fund the employee contribution
9 credits.

10 SECTION 7. NEW LAW A new section of law not to be
11 codified in the Oklahoma Statutes reads as follows:

12 Of the funds allocated in subparagraph p of paragraph 2 of
13 Section 1 of this act for the purpose of funding stipends for speech
14 language pathologists, Four Million Two Hundred Fifty Thousand
15 Dollars (\$4,250,000.00) shall be transferred to the Oklahoma School
16 Psychologist, Speech-Language Pathologist, and Audiologist National
17 Certification Revolving Fund, created in Section 6-206.1 of Title 70
18 of the Oklahoma Statutes, for the purpose of awarding annual bonuses
19 as directed.

20 SECTION 8. NEW LAW A new section of law not to be
21 codified in the Oklahoma Statutes reads as follows:

22 The funds allocated in subparagraph w of paragraph 2 of Section
23 1 of this act for Advanced Placement Incentives shall be expended
24 for the purpose of providing assistance for students in financial

1 need, providing grants to districts seeking to start new advanced
2 placement (AP) programs, and expanding professional development,
3 pursuant to the provisions of Section 1210.703 of Title 70 of the
4 Oklahoma Statutes.

5 SECTION 9. NEW LAW A new section of law not to be
6 codified in the Oklahoma Statutes reads as follows:

7 The funds allocated in subparagraph e of paragraph 2 of Section
8 1 of this act for the Strong Readers Act shall be expended pursuant
9 to the provisions of Section 1210.508A et seq. of Title 70 of the
10 Oklahoma Statutes.

11 SECTION 10. NEW LAW A new section of law not to be
12 codified in the Oklahoma Statutes reads as follows:

13 The funds allocated in subparagraph j of paragraph 2 of Section
14 1 of this act for Required Assessments shall be expended for the
15 purpose of administering a statewide student assessment system for
16 grades three through twelve, pursuant to Section 1210.508 of Title
17 70 of the Oklahoma Statutes.

18 SECTION 11. NEW LAW A new section of law not to be
19 codified in the Oklahoma Statutes reads as follows:

20 The funds allocated in subparagraph i of paragraph 2 of Section
21 1 of this act for Alternative and High Challenge Education shall be
22 expended for the purpose of operating the statewide system of
23 alternative education programs, as provided in Section 1210.568 of
24 Title 70 of the Oklahoma Statutes, and for encouraging school

1 districts to participate in innovative alternative education
2 programs.

3 SECTION 12. NEW LAW A new section of law not to be
4 codified in the Oklahoma Statutes reads as follows:

5 The funds allocated in subparagraph g of paragraph 2 of Section
6 1 of this act for Early Intervention shall be transferred to the
7 Early Intervention Revolving Fund (Fund 250). It is the intent of
8 the Legislature that funding available for SoonerStart Early
9 Intervention Services be expended for direct services to eligible
10 infants and toddlers and their families. The State Department of
11 Education shall not contract, pay, or reimburse for administrative
12 cost recovery personnel, accounting, management information system
13 costs, and maintenance and operations at the state or local level or
14 indirect costs which do not comply with the requirements of Section
15 13-125 of Title 70 of the Oklahoma Statutes.

16 SECTION 13. NEW LAW A new section of law not to be
17 codified in the Oklahoma Statutes reads as follows:

18 The funds allocated in subparagraph h of paragraph 2 of Section
19 1 of this act for the Early Childhood Initiative shall be expended
20 for the purpose of funding the early childhood program pursuant to
21 the provisions of Section 10-105.4 of Title 70 of the Oklahoma
22 Statutes.

23 SECTION 14. NEW LAW A new section of law not to be
24 codified in the Oklahoma Statutes reads as follows:

1 State Aid funds shall be reduced or withheld by the State Board
2 of Education in an amount necessary to ensure compliance with this
3 act.

4 SECTION 15. NEW LAW A new section of law not to be
5 codified in the Oklahoma Statutes reads as follows:

6 The State Board of Education is authorized to request the Office
7 of Management and Enterprise Services to transfer appropriated funds
8 to the appropriate dispensing fund.

9 SECTION 16. NEW LAW A new section of law not to be
10 codified in the Oklahoma Statutes reads as follows:

11 The Superintendent of Public Instruction may request through the
12 Director of the Office of Management and Enterprise Services the
13 early transfer by the Oklahoma Tax Commission of tax collections to
14 the Education Reform Revolving Fund for the purpose of early
15 allocation to the State Board of Education's disbursing funds to
16 alleviate cash-flow problems.

17 SECTION 17. NEW LAW A new section of law not to be
18 codified in the Oklahoma Statutes reads as follows:

19 If funds appropriated in Sections 1 through 22 of Enrolled
20 Senate Bill No. 1177 of the 2nd Session of the 60th Oklahoma
21 Legislature are not sufficient to fully fund the provisions of this
22 act, each school district that qualifies for funds, excluding
23 Financial Support of Public Schools, pursuant to the provisions of
24 this act shall take a proportionate reduction.

SECTION 18. NEW LAW A new section of law not to be
codified in the Oklahoma Statutes reads as follows:

A. The State Superintendent of Public Instruction may request,
in the manner provided in this section, that receipt and expenditure
of unanticipated federal funds awarded after July 1, 2026, be exempt
from expenditure limitations and from budgetary limitations.

1. The Superintendent shall make a request for exemption to the
Office of Management and Enterprise Services in writing and file a
revised budget work program.

2. The Superintendent shall also file copies of the request for
exemption and budget work program revisions with the chair of the
Appropriations Committee of the Oklahoma State Senate and the chair
of the Appropriations and Budget Committee of the Oklahoma House of
Representatives. The chair of the Appropriations Committee of the
Oklahoma State Senate and/or the chair of the Appropriations and
Budget Committee of the Oklahoma House of Representatives shall
notify the Office of Management and Enterprise Services of any
noncompliance of the request with legislative intent within twelve
(12) calendar days of receipt of the exemption request.

B. The Office of Management and Enterprise Services shall
approve the request for exemption unless both the chair and vice
chair of the Legislative Oversight Committee on State Budget
Performance provide written notification to the Office of Management
and Enterprise Services within twelve (12) calendar days of the

1 Committee's receipt of the exemption request that the exemption
2 subverts the intention and objectives of the Legislature in
3 establishing the original limit. The Office of Management and
4 Enterprise Services shall give written notice of approval or
5 disapproval of each exemption to the agency, the Governor, the chair
6 of the Appropriations Committee of the Oklahoma State Senate, and
7 the chair of the Appropriations and Budget Committee of the Oklahoma
8 House of Representatives within eighteen (18) calendar days of
9 receiving the request.

10 SECTION 19. NEW LAW A new section of law not to be
11 codified in the Oklahoma Statutes reads as follows:

12 There is hereby appropriated to the State Board of Education
13 from any monies not otherwise appropriated from the General Revenue
14 Fund of the State Treasury for the fiscal year ending June 30, 2027,
15 the sum of Eighty-one Thousand Seventy-two Dollars (\$81,072.00) to
16 be budgeted and expended in accordance with law.

17 SECTION 20. NEW LAW A new section of law not to be
18 codified in the Oklahoma Statutes reads as follows:

19 Of the funds appropriated by Section 19 of this act, Eighty-one
20 Thousand Seventy-two Dollars (\$81,072.00) shall be transferred to
21 the Binocular Screening Revolving Fund created by Enrolled House
22 Bill No. 3016 of the 2nd Session of the 60th Oklahoma Legislature.

23 SECTION 21. NEW LAW A new section of law not to be
24 codified in the Oklahoma Statutes reads as follows:

It is the intent of the Legislature that compliance with the provisions of this act is enforceable pursuant to the provisions of paragraph 9 of subsection A of Section 18b of Title 74 of the Oklahoma Statutes.

SECTION 22. This act shall become effective July 1, 2026.

SECTION 23. It being immediately necessary for the preservation of the public peace, health or safety, an emergency is hereby declared to exist, by reason whereof this act shall take effect and be in full force from and after its passage and approval.

Passed the House of Representatives the 14th day of April, 2026.

Presiding Officer of the House
of Representatives

Passed the Senate the _____ day of _____, 2026.

Presiding Officer of the Senate